



. . . and avoiding investment traps like real estate and gold . . .



. . . should lead to significant and sustainable wealth creation.

Mr Talwar: Piecing it together for a secured life

On a Saturday afternoon, when Nikhil sat down with Mr Talwar to assess his financial position, they ended up spending more than three hours. Several cups of tea were downed and a plateful of pakoras was consumed. As the discussion progressed, Mr Talwar realized that he had never conducted an exercise like this before. Though he broadly knew his goals, which were primarily his responsibilities, it was only after he put them down on a sheet of paper that he realized that even the smallest of his goals (or ambitions) had a monetary cost which would not be fulfilled automatically. In short, every goal needed a plan.

There are several elements in financial planning, but the critical element is the ‘time value of money’. If you have to buy a car five years later, which costs Rs 10 lakh today, you will end up paying more than Rs 16 lakh if we assume a 10 per cent annual increase in the cost of the car. So, if you had earmarked Rs 10 lakh to buy a car and earned a 5 per cent post-tax interest on that money (say, from a fixed deposit), your money pot would have grown to Rs 12.8 lakh, i.e. Rs 3.2 lakh short of the amount you need to buy the car five years later. This predicament would have arisen even though today you had exactly the amount you need to buy the car.

The root cause of the problem here is inflation. Unless we plan carefully, thanks to inflation, the prices of the things we want to buy in the years to come will grow faster than our ability to compound our savings. Chemistry